Practice workbook · Draw a shift in a labour market diagram

Using a labour supply and demand diagram to show a shift and the new equilibrium wage and quantity of workers.

4 question parts: 1 worked-example retry and 3 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-19

1. Question 3 · part c · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part c only.

3 (a) Which **one** of the following is defined as 'the selling of an enterprise controlled by the government to the private sector'?

(1)

- ☒ **A** Reclamation
- ☒ **B** Innovation
- ☒ **C** Nationalisation
- ☒ **D** Privatisation

(b) Which **one** of the following is an example of an occupation in the primary sector?

(1)

- ☒ **A** Teacher
- ☒ **B** Farmer
- ☒ **C** Electrician
- ☒ **D** Actor

(c) On the diagram below, draw the effects of an increase in the school-leaving age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

(3)

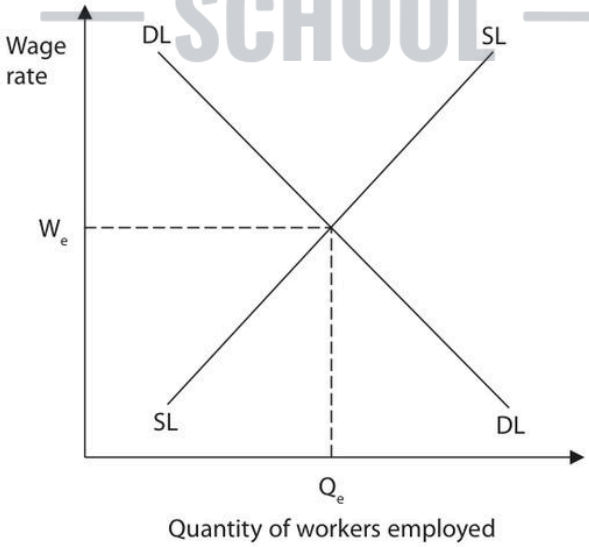


Figure 3

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1. Question 3 · part c · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part c only.

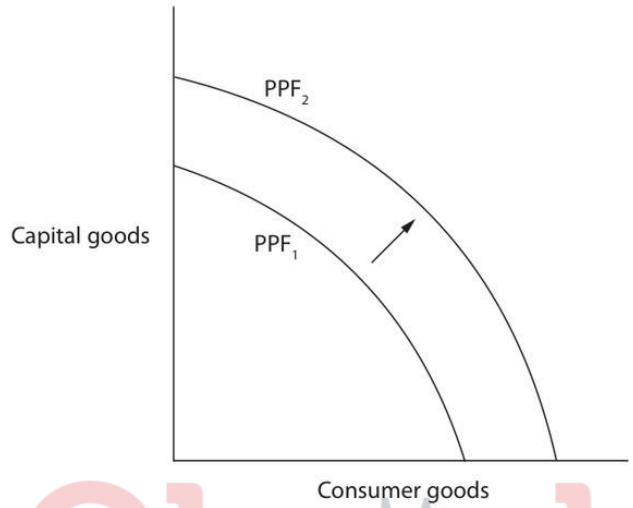


Figure 4

Figure 4 shows an outward shift in the production possibility frontier (PPF) for Zambia in 2019. Agriculture, construction and copper production are some of the main areas that contribute to the economy of Zambia.

(d) With reference to the data above and your knowledge of economics, analyse why the economy has moved from PPF_1 to PPF_2.

(6)

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1. Question 3 · part c · 3 marks · Working and answer

Working and answer

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2. Question 3 · part c · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

3 (a) Which **one** of the following can be described as an advantage to a small firm?

(1)

- ☒ **A** Access to many sources of finance
- ☒ **B** Flexibility
- ☒ **C** Market domination
- ☒ **D** Risk spreading

(b) Which **one** of the following options describes a price elasticity of supply (PES) of 0.7?

(1)

- ☒ **A** Perfectly price elastic
- ☒ **B** Perfectly price inelastic
- ☒ **C** Price elastic
- ☒ **D** Price inelastic

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2. Question 3 · part c · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

(c) Using the diagram below, draw the effects of an increase in the retirement age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

(3)

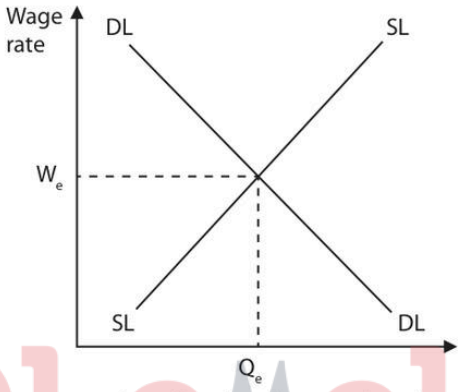


Figure 5

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2. Question 3 · part c · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

An investigation has taken place in the US to determine whether a number of pharmaceutical firms used collusion to divide sales between themselves so each firm received higher profits. One example of the price fixing meant a tablet sold for $4.70 when the price should have been $0.13. The firms have rejected the accusations, saying there is a lack of evidence to prove anti-competitive behaviour.

(Source adapted from: https://www.washingtonpost.com/business/economy/investigation-of-generic-cartel-expands-to-300-drugs/2018/12/09/fb900e80-f708-11e8-863c-9e2f864d47e7_story.html?noredirect=on&utm_term=.3c2a12983985)

(d) With reference to the data above and your knowledge of economics, analyse the possible disadvantages faced by consumers from collusion between firms.

(6)

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16

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2. Question 3 · part c · 3 marks · Working and answer

Working and answer

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3. Question 3 · part c · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

3 Income elasticity of demand (YED) for a product is –0.43 and the price elasticity of demand (PED) for the same product is –0.27.

(a) The data above shows that the product is

(1)

- ☒ **A** an inferior good and demand is price inelastic
- ☒ **B** an inferior good and demand is price elastic
- ☒ **C** a normal good and demand is price inelastic
- ☒ **D** a normal good and demand is price elastic

(b) The formula for social benefits is

(1)

- ☒ **A** private costs + private benefits
- ☒ **B** private benefits – private costs
- ☒ **C** private benefits + external benefits
- ☒ **D** private costs – external costs

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3. Question 3 · part c · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

(c) On the diagram below, draw the effects of a decrease in the retirement age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

(3)

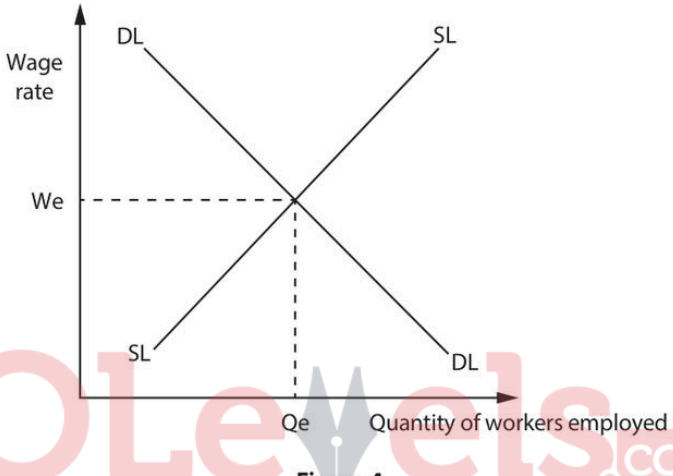


Figure 4

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3. Question 3 · part c · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

Studies have shown that there are a number of negative impacts from spending too much time using a mobile phone. These include pain in the thumbs, loss of sleep and anxiety. Despite this, it is not unusual for people to spend a lot of time using their phone, even in the presence of others.

(d) With reference to the data above and your knowledge of economics, analyse why some people may ignore the negative impacts of spending a lot of time using a mobile phone.

(6)

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3. Question 3 · part c · 3 marks · Working and answer

Working and answer

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4. Question 3 · part c · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.

3 (a) Which **one** of the following may be a reason why a firm stays small?

(1)

- ☒ **A** Ability to take over competitors
- ☒ **B** Access to many sources of finance
- ☒ **C** Ability to spread risk
- ☒ **D** Aims of the entrepreneur

(b) Which **one** of the following describes a price elasticity of supply (PES) of 1.5?

(1)

- ☒ **A** Perfectly price elastic
- ☒ **B** Perfectly price inelastic
- ☒ **C** Price elastic
- ☒ **D** Price inelastic

Figure 5 shows the labour market for a country.

(c) Using the diagram below, draw the effect of a decrease in the school-leaving age on the labour market in this country. Label the new curve, the new equilibrium wage rate and the new quantity of workers.

(3)

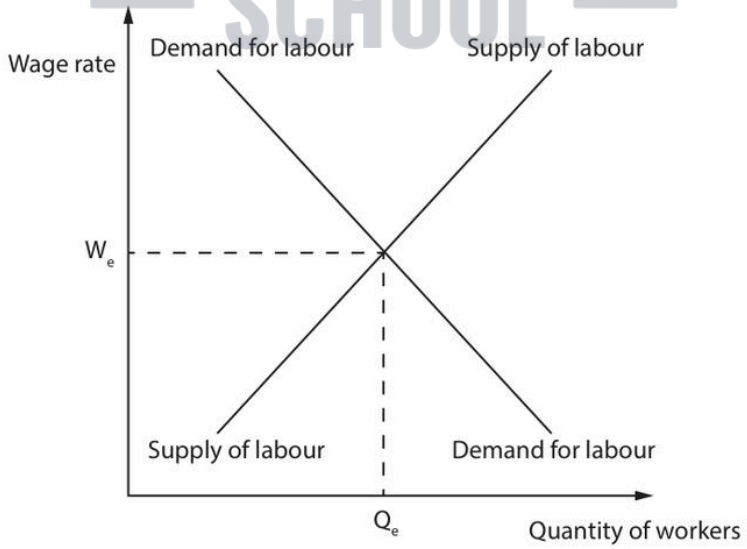


Figure 5

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P 7 8 9 5 6 A 0 1 2 2 4

4. Question 3 · part c · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.

The price of olive oil peaked in the summer of 2024, averaging €10 000 per tonne. It is expected to fall to between €4 000 and €5 000 per tonne in 2025.

Some of the main areas where olive oil is produced are located in Greece, Spain and Tunisia. All are set for improved harvests of olives, after years of heatwaves and droughts causing a fall in the harvest. Better weather means Greece is expected to produce 230,000 tonnes in the 2025 season, up from 130,000 tonnes the previous year. While Spain and Tunisia are also forecasting large increases in production.

(d) With reference to the data above and your knowledge of economics, analyse how natural factors, such as favourable weather conditions, may affect the market for olive oil in 2025.

(6)

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4. Question 3 · part c · 3 marks · Working and answer

Working and answer

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